lowest in four years—due to drought. The ICO's price indicator further showed Robusta commanding a price of 204.42 US cents per pound on June 21, while Other Mild Arabicas were pegged at 246.26 US cents per pound at the time. The average rate of Robusta in the same month last year was 132.13 cents per pound, while Arabica was priced at 207.39 cents per pound.

Large trade houses and coffee roasters in Europe and the US, the two big coffee-consuming regions, had been stocking less inventory over the past couple of years when prices were trending low, says Rajah. "Now, there's a scramble for coffee. It's both a supply shock and a demand-led problem. So, prices have shot up rapidly."

A FORTUITOUS OCCURRENCE

India's share in global coffee production was about 3.4 per cent in 2021-22, with the country producing 5.7 million bags (of 60 kg each) compared to the global figure of 167 million bags, shows a July 2023 analysis by the Coffee Board of India. Exports crossed the billion-dollar mark that year, at $1.02 billion. Currently, India is the world's fifth largest exporter of coffee, with exports of $1.28 billion in 2023-24. The top destinations for Indian coffee include Italy, Germany, Belgium, the Russian Federation, Turkey, Poland, Jordan, Libya and the US.

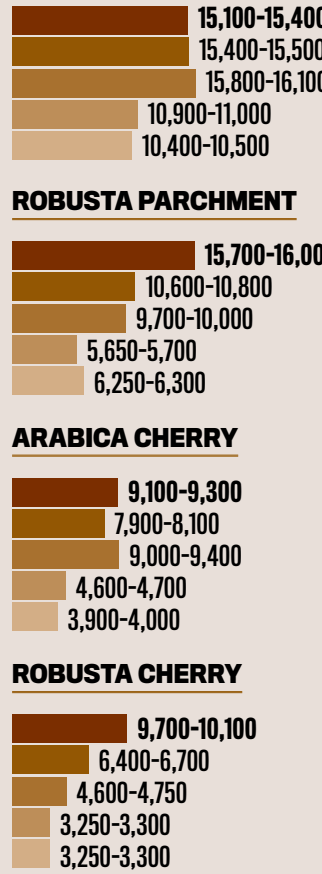
As much as 70.5 per cent of India's coffee production of 352,000 tonnes in 2022-23 came from Karnataka, where estates are spread across the three districts of Kodagu, Chikamagalur and Hassan, according to Coffee Board data. Plantations in Kerala accounted for 20.5 per cent, followed by Tamil Nadu at 5.3 per cent. The remainder came from newer growing regions in Andhra Pradesh, Odisha and the Northeast region. Raw coffee prices in Karnataka for Robusta cherry were ruling at Rs 9,700-Rs 10,100 per 50 kg bag on June 21, while Robusta parchment was selling at Rs 15,700-Rs 16,000 per bag. (Coffee beans that are separated from the berries through a wet process are called parchment, while cherry refers to those that are processed naturally by drying in the sun.) In comparison, Arabica cherry was priced at Rs 9,100-Rs 9,300 per bag and Arabica parchment at Rs 15,100-Rs 15,400 per bag. "In my planting experience I haven't seen these sort of prices," says Rajeev K.G., chairman of the Chikamagalur-headquartered Karnataka Planters' Association.

But the gains get evened out when compared to the losses of the previous four-five years, says the planter. Over the past five years, monsoon patterns in the prime coffee-growing areas in the Western Ghats have grown erratic, with rains occurring later than usual and in heavier showers. "Normally, we could very categorically say the monsoon is between June and August with a tapering off in September. But now we are not in a position to say when exactly is our monsoon period," adds Rajeev. During the 2023 southwest monsoon, Karnataka's three coffee-growing districts of Kodagu, Chikamagalur and Hassan recorded a rainfall deficit of 42 per cent, 40 per cent and 36 per cent, respectively, according to data from the Karnataka State Natural Disaster Monitoring Centre. This year, too, has seen a prolonged dry spell during the critical February-March window, when the plants require light showers in order to blossom. This has caused some anxiety about the size of the next crop due by the year-end. The process of flowering to fruit formation takes about eight months, hence the harvesting of coffee berries starts in November and continues up to January.

Planters point out that costs of inputs and labour have been going up even as the weather patterns have affected yield. According to Subramanya, there has been at least a threefold increase in costs in the past five years. "Growers need to increase productivity if the industry has to survive," he says. Till then, the coffee planter can savour the cheer that the current trend of high prices has brought. ■

THE BOOM IS BACK

The rise in raw coffee prices in Karnataka (Rs per 50 kg), 2020-24*



Source: Coffee Board of India

*Price varies across local markets in India. Karnataka price most relevant as it produces over 70% of the country's coffee

ROBUST(A) GROWTH

- First time Robusta prices **surpassed** Arabica rates
- This is due to **drought in Vietnam,** the world's second biggest coffee producer
- Given the supply shortage, global Robusta prices touched their **highest level in 45 years** in April
- Nearly **70 per cent** of India's coffee production comprises Robusta